Case Study on Cost Optimization

2. Cost Optimization – Telecom: How a telecom operator can address margin pressure from declining ARPU and rising network costs.

Introduction

A telecom operator is facing significant margin pressure driven by declining average revenue per user (ARPU) and rising network operating expenses. This case study explores how the operator can identify and prioritize cost-reduction opportunities across the business without compromising service quality.

Background

The operator's revenue per user has been steadily declining amid intense price competition and market saturation, while network operating expenses continue to climb due to rising data consumption, tower and energy costs, and expanding infrastructure requirements. Vendor contracts for network equipment, maintenance, and managed services were negotiated several years ago and have not been revisited.

There is currently no structured framework within the organization to systematically identify, evaluate, and prioritize cost-saving opportunities, and any past cost-cutting efforts have been ad hoc, raising concern that further cuts could degrade network quality and accelerate customer churn.

Approach to Identifying Cost-Reduction Opportunities

- **Cost Baseline and Benchmarking-** Build a detailed breakdown of network opex (energy, tower leases, maintenance, backhaul, managed services) and benchmark each line item against industry peers to size the opportunity.
- **Vendor Contract Review-** Audit existing vendor and managed-services contracts for outdated pricing, renegotiate volume-based discounts, and consider multi-vendor bidding to restore competitive tension.
- **Network Infrastructure Optimization-** Evaluate opportunities such as tower and site sharing with other operators, energy-efficient equipment upgrades, and decommissioning of redundant or underutilized sites.
- **Zero-Based Cost Framework-** Apply a zero-based budgeting lens to non-network costs (customer service, back-office, real estate) to challenge legacy spend rather than trimming incrementally.
- **Impact vs. Effort Prioritization-** Plot identified initiatives on an impact-versus-effort matrix, sequencing quick wins (vendor renegotiation) ahead of longer-term structural changes (infrastructure sharing).
- **Quality Safeguards-** Define minimum service-quality thresholds (network uptime, call drop rates, data speeds) that must be protected throughout implementation, with monitoring built into each initiative.

Impact

- **Improved Margins-** Renegotiated vendor contracts and infrastructure efficiencies directly reduce the cost base and help offset ARPU decline.
- **Structured Decision-Making-** A repeatable cost framework replaces ad hoc cuts, giving leadership a consistent way to evaluate future cost initiatives.
- **Protected Service Quality-** Built-in quality safeguards ensure cost reduction does not come at the expense of customer experience or churn.

- **Stronger Vendor Leverage-** A systematic contract review process improves the operator's negotiating position on an ongoing basis, not just as a one-time exercise.

Final Note

Addressing margin pressure in telecom requires more than isolated cost cuts. By combining vendor renegotiation, infrastructure optimization, and a disciplined prioritization framework, the operator can protect service quality while building a sustainable, repeatable approach to cost management.

Questions for Discussion

- How would you identify and prioritize cost-reduction opportunities across this business?
- Walk through your approach step by step.
- How would you ensure cost cuts do not compromise service quality?
- Which cost levers would you expect to deliver the fastest impact, and which would take longer?